

August 14, 2026 11:47 PM GMT

US Rates Strategy | North America

Steeper by the Dozen

Recent data reinforce a lower Fed terminal rate path, leaving room for further M7 outperformance vs. M8, as hike risk premium dissipates. We expect Fed RMPs now pause around quarterly tax dates, but resume thereafter as structural currency growth anchors an underlying need for reserve maintenance.

Key Takeaways

- Recent labor, consumption, and inflation data all pointing to an economy not overheating has led market participants to reprice the Fed's terminal rate lower.
- We think weak labor demand, softer spending, and benign inflation mean less hike risk premia, which bodes for more steepening in the SFRM7M8 futures curve.
- The Fed will not conduct reserve management purchases (RMPs) this month after purchasing a total of \$215bn in bills via RMPs since mid-December 2025.
- We expect RMPs will resume in mid-September since growth in currency in circulation anchors an underlying, structural annual reserve need (~\$80bn).
- Fewer RMPs are a marginal headwind to our 2-year UST swap spread long recommendation, but MMF portfolio bias to repo should keep funding orderly.

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Short Duration Strategy

United States | Steeper by the dozen

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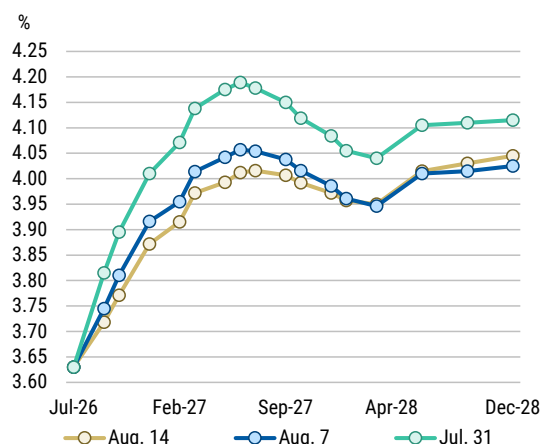
Steeper by the dozen

Since Chairman Warsh [hinted](#) at a reaction function that seeks to use tighter financial conditions – in the form of higher real and nominal Treasury yields – instead of rate hikes, market participants have deemed a higher fed funds terminal rate path as less likely.

- The terminal rate continued to reprice lower this week, following a [benign](#) July CPI inflation report, according to our US economics team.
- The terminal rate - priced by June 2027 - has repriced 18bp lower since July 31 and 5bp lower since release of the July employment report on August 7.

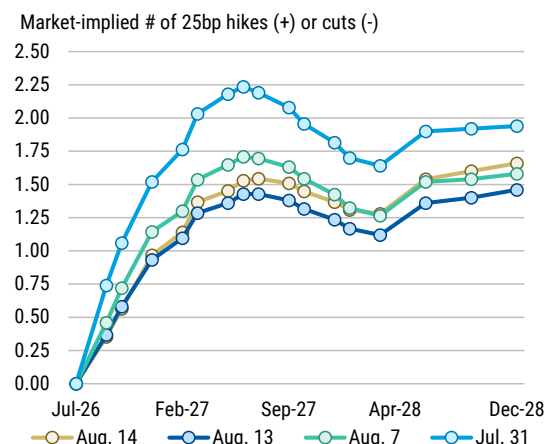
As shown in [Exhibit 2](#), after a [soft start](#) to retail sales in the third quarter, the number of 25bp rate hikes implied by market pricing by June 2027 has decreased from ~2.25 (or 56bp) on July 31 to ~1.50 (or 38bp), as of August 14. Our economists initiate 3Q26 real consumption tracking at 1.8% q/q saar, down from 2.4% pre-retail sales.

Exhibit 1: Current market-implied path of Fed policy through December 2028 vs. 8/7 and 7/31



Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Current market-implied number of 25bp rate hikes (+) or cuts (-) vs. 8/13, 8/7, and 7/31



Source: Morgan Stanley Research, Bloomberg

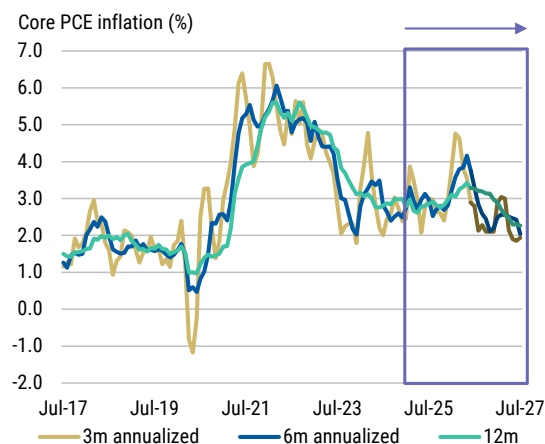
Looking ahead to the PCE data release for July on August 26, our economists now forecast core PCE inflation of 0.225% m/m. In [Exhibit 3](#), we show realized US core PCE inflation on a 3-month annualized, 6-month annualized, and Y/Y basis over the last decade.

In [Exhibit 4](#), we show our economists' forecast through July 2027. We think investors are now coming around to the view that the [Odyssey to the Fed's 2% inflation target](#) has begun:

- The peak for each measure has already occurred, with the journey now toward 2%;
- 3-month annualized core PCE inflation remains at 2% over 4Q26;
- 6-month annualized core PCE inflation falls to 2% in November 2026;
- Y/Y core PCE inflation bottoms at 2.3% in mid-2027.

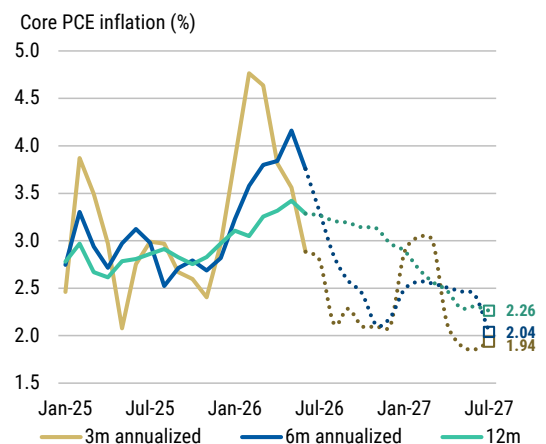
Realized data consistent with our economists' forecast of steady disinflation over the coming months allows inflation and hike risk premia in the Treasury market to dissipate.

Exhibit 3: US core PCE inflation: 3-month annualized, 6-month annualized, and Y/Y realized over the last decade



Source: Morgan Stanley Research, BEA, Bloomberg

Exhibit 4: US core PCE inflation: 3-month annualized, 6-month annualized, and Y/Y realized since January 2025 and Morgan Stanley forecast



Source: Morgan Stanley Research forecasts, BEA, Bloomberg

We think less inflation and rate hike risk premia bodes for further steepening in the SOFR M7M8 futures curve. We suggest investors remain positioned for M7 outperformance vs. M8 and **raise trailing stops on SFRM7M8 steepeners to -14bp** (see [Exhibit 5](#)).

As recent labor, consumption, and inflation data all point to an economy that is not experiencing robust aggregate demand, we think recent outperformance of M7 can persist as market participants continue to price a lower Fed terminal rate (see [Exhibit 6](#)).

Exhibit 5: SOFR M7M8 curve over the past year with 25th and 50th %-tile ranges

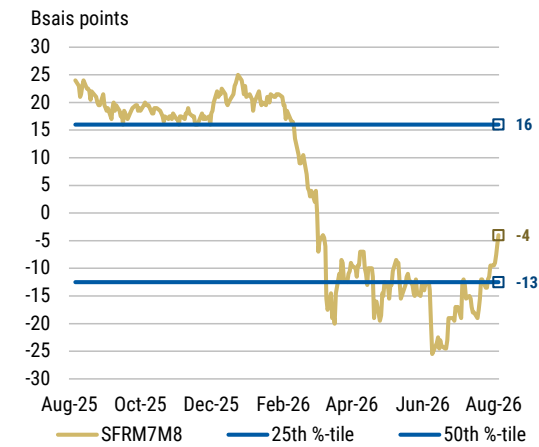


Exhibit 6: Change in market-implied Fed policy rate pricing by meeting date, in basis points and number of 25bp hikes (+) or cuts (-)

Date	basis points			# of 25bp hikes (+) or cuts (-)			
	DoD	WoW	Jul. 31	Aug. 14	Aug. 13	Aug. 7	Jul. 31
7/29/2026	0.0	0.0	0.0	0.00	0.00	0.00	0.00
9/16/2026	-0.4	-2.7	-9.7	0.35	0.37	0.46	0.74
10/28/2026	-0.4	-3.9	-12.4	0.56	0.58	0.72	1.06
12/9/2026	0.9	-4.4	-13.8	0.97	0.93	1.14	1.52
2/3/2027	1.1	-4.0	-15.6	1.14	1.10	1.30	1.76
3/17/2027	2.1	-4.2	-16.6	1.37	1.28	1.54	2.03
5/5/2027	2.3	-4.9	-18.2	1.45	1.36	1.65	2.18
6/17/2027	2.5	-4.5	-17.7	1.53	1.43	1.71	2.24
7/30/2027	2.9	-3.8	-16.2	1.54	1.43	1.70	2.19
9/16/2027	3.2	-3.1	-14.3	1.51	1.38	1.63	2.08
10/27/2027	3.3	-2.4	-12.7	1.45	1.32	1.54	1.96
12/8/2027	3.3	-1.4	-11.2	1.37	1.24	1.42	1.82
1/26/2028	3.5	-0.4	-9.8	1.31	1.17	1.32	1.70
3/20/2028	4.0	0.4	-9.0	1.28	1.12	1.26	1.64
6/30/2028	4.5	0.5	-9.0	1.54	1.36	1.52	1.90
9/30/2028	5.0	1.5	-8.0	1.60	1.40	1.54	1.92
12/31/2028	5.0	2.0	-7.0	1.66	1.46	1.58	1.94

Source: Morgan Stanley Research, Bloomberg

- Trade idea: Maintain UST 7s30s steepeners, DV01 neutral, at 75bp with a target of 100bp and a trailing stop of 58bp.
- Trade idea: Maintain long 2-year (Sep '27) UST SOFR swap spreads at -9.5bp with a target of -9bp and a trailing stop of -13bp.
- Trade idea: Maintain SFRM7M8 curve steepeners at -4bp with a target of +4bp and a trailing stop of -14bp.

Fed Reserve Management Purchases Outlook

On Thursday afternoon, the New York Fed [announced](#) its Treasury securities purchase operation schedule for the August 14 – September 14 period:

- The Markets desk (Desk) plans to conduct \$17bn in bills purchases related to the reinvestment of proceeds from principal payments of agency securities.
- The Desk does not plan to conduct reserve management purchases (RMPs) after purchasing a total of \$215bn in bills via RMPs from mid-December to mid-August.

The FOMC has [directed](#) the Desk to conduct secondary market purchases of Treasuries, when appropriate, to grow the SOMA portfolio to maintain ample reserve conditions. The following guidance is provided by the Desk on how the size of RMPs are determined:

“Monthly RMP amounts are designed to maintain reserves within the ample range and are based on the Desk’s projections for reserve demand and supply, as well as its assessment of current and prospective money market conditions. RMP amounts are not on a preset course and may vary from month to month depending on reserves and money market developments.”

We think the decision not to conduct RMPs over this period was in anticipation of Treasury’s upcoming cuts to bill auction sizes before the September 15 corporate tax date.

- Bill paydowns into the September tax date will put the Treasury General Account (TGA) on a path lower, of which, will mechanically increase reserves, all else equal.

We do not think the decision to not conduct RMPs over this monthly period was in response to the Desk’s assessment of current money market conditions.

In [Why So Soft, Repo?](#), we discussed the confluence of factors that had contributed to the extreme softness in funding market conditions that led SOFR to print at FF LT +0bp on May 20 (see [Exhibit 7](#)). Thereafter, SOFR also printed at FF LT +3bp on July 9.

Exhibit 7: SOFR, EFFR, and the two administered rates within the fed funds target range over the past year

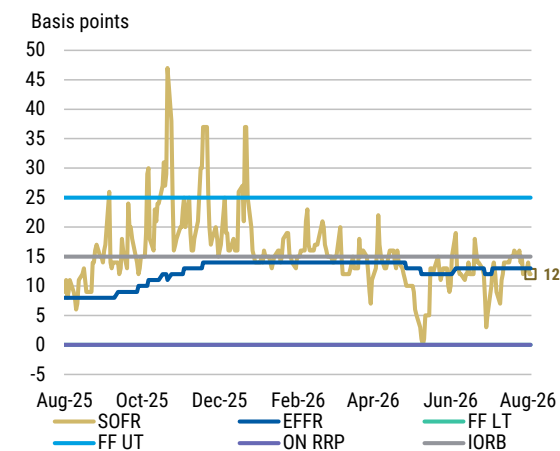
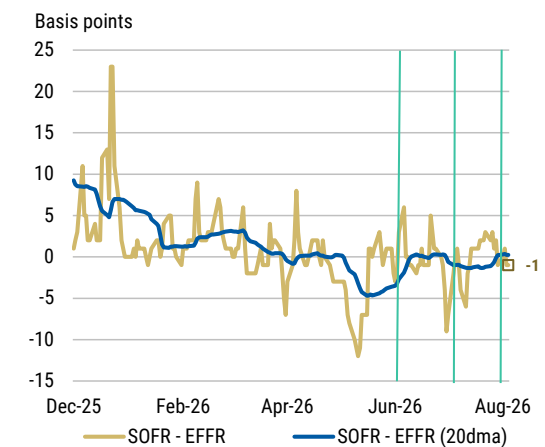


Exhibit 8: Realized SOFR/FF spread since the start of Fed RMPs; green lines represent the last three RMP announcement dates



In [Exhibit 8](#), we show the realized SOFR/FF spread since the start of Fed RMPs in December 2025. The three green lines represent the last three dates where RMP sizes were announced for the upcoming monthly period.

- Using the 20-day moving average, to smooth the SOFR/FF trend, we show conditions in money markets - as implied by SOFR relative to EFRF - warranted a pause in RMPs at the start of the two prior periods more than they did Thursday.

Despite signs of softness in money markets, the pause was not until August. This indicates the pause was in anticipation of predictable, temporary, reserve injections from TGA declines. This means the Desk is not programmatically purchasing bills each month.

- Growth in currency in circulation anchors underlying, structural annual reserve needs (~\$80bn), while predictable TGA swings determine the monthly cadence.

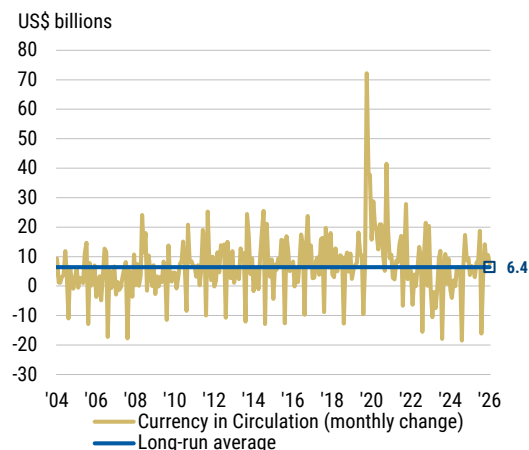
As a result, going forward, our base case is that the Desk will use RMPs flexibly around forecastable TGA-driven reserve swings, implying pauses in RMPs ahead of quarterly tax dates when projected TGA declines are sufficiently large.

As outlined in [Crisis of Confidence in the SRF](#), to inform the forecast for the long-run RMP sizes, we think it is best to look at historical monthly growth in currency in circulation.

- Long-run average monthly growth in currency is \$6.4bn (see [Exhibit 9](#)).

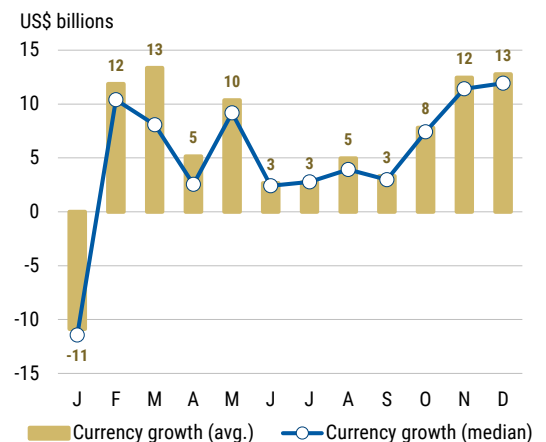
Currency in circulation is a liability on the Fed's balance sheet that moves inversely with reserves. Absent changes in other balance sheet items or desired reserve buffers, currency growth creates a structural reserve drain that SOMA growth ultimately needs to offset.

Exhibit 9: Monthly change in Currency in Circulation and long-run average since 2004



Source: Morgan Stanley Research, Federal Reserve H.4.1, Bloomberg

Exhibit 10: Average and median change in Currency in Circulation by month since 2003



Source: Morgan Stanley Research, Federal Reserve H.4.1, Bloomberg

To account for the seasonality in currency, we also calculate the average and median change in currency in circulation by each month in every calendar year since 2003.

- As shown in [Exhibit 10](#), the median change in currency per month helps confirm a robust pattern of seasonality, as January sees consistently negative growth.

From these historical patterns, we estimate an underlying RMP requirement of ~\$80bn per year, in order to grow reserves alongside structural growth in currency in circulation.

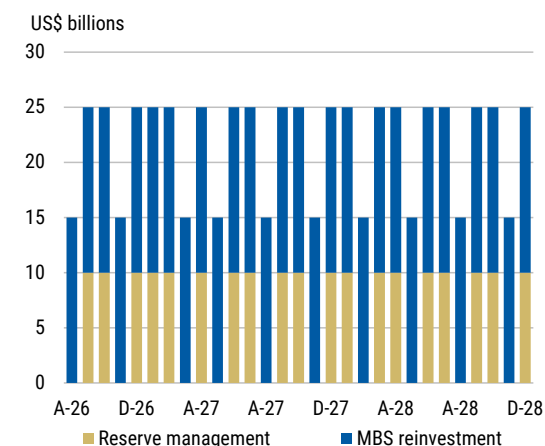
- As shown in [Exhibit 11](#), we outline our forecast for Fed total secondary market bills purchases across those related to RMPs - with pauses around quarterly tax dates due to fluctuations in the TGA - and MBS reinvestment.

This cadence of RMPs allows reserves to grow over time at a pace consistent with the long-run trend growth in Currency in Circulation (see [Exhibit 12](#)) - the intent of RMPs.

- Over a calendar year, \$80bn in total RMP purchases equates to \$6.7bn a month, which essentially matches historical long-run average monthly growth in currency.

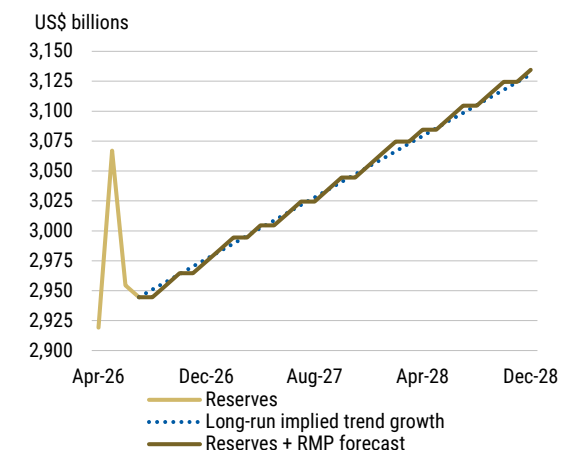
This cadence of RMPs allows reserves to remain in our estimated ample reserve **regime threshold** of 12-13% of total commercial bank assets - the flat portion of the reserve demand curve, where modest changes in supply have limited effects on overnight rates.

Exhibit 11: Fed monthly Treasury Securities Purchase Operations forecast; delineated into reserve management and MBS reinvestment



Source: Morgan Stanley Research

Exhibit 12: Reserves and long-run trend growth, as implied by Currency in Circulation, alongside Reserves projection, as implied by our forecast for RMPs



Source: Morgan Stanley Research

If conditions in money markets do firm, despite the anticipated TGA-driven reserve injection, the Desk has optionality to resume RMPs larger than trend forecast.

Relative to our prior forecast for RMPs, this is a marginal headwind for our long 2y UST swap spread recommendation. However, we think funding conditions should remain orderly.

- Funding should remain orderly as rate path uncertainty keeps incremental cash from MMFs biased to repo, allowing repo supply to meet higher demand required from larger Treasury net settlements (see [UST Repo Outlook: Mildly Bullish](#)).

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Interest Rate Strategy				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Long 2y (Sep '27) UST SOFR swap spread	-21.6bp	10/3/2025	We expect softer funding conditions and a steepening of the very front end to cause swap spreads in the front end to widen given recent relationships.	Risks to the trade include firmer funding than expected or a stabilizing job market.
7s30s curve steepener	63bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out.	The main risk is if inflation data reignites hawkish Fed tail risks
SFRM7M8 curve steepener	-19.0bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out. We think that allows for more outperformance of M7 relative to M8, after underperformance over the past three months when hawkish tail risks dictated pricing of Fed policy. M7M8 steepeners also better complement our core UST 7s30s steepener view.	The main risk is if inflation data reignites hawkish Fed tail risks

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Underweight/Sell	560	15%	97	10%	17%	217	12%
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